

participated in the open source e-groups, wherein the open source code we wrote spoke for the quality of our work. We also wrote technical and semi-technical articles for some websites and magazines," says Sani.

This three-pronged initial business strategy finally paid off. "Our first customer came to know of us through one of the e-groups we managed. We developed a classified and coupons application for Avinash Moharil (currently CEO and president of NetCliff)," says Sani. Sugartrade, KlubQ, Sunflag Iron and Steel, and Puma Herbals were some initial clients.

However, making the business click wasn't hassle-free for SANIssoft. Being an adolescent firm, prospective customers had their reservations. "The going was tough considering the newness of the platform we chose to operate on. Initially, we were able to close less than 1 per cent of the deals. But persistence, active participation in the community, self-belief and our chosen technology soon paid dividends," says Sani.

Finding the appropriate talent to channel growth was another challenge. "Hiring was very difficult as most candidates weren't familiar with PHP. We picked up freshers and had to invest in training them in-house. All our current senior managers joined us as trainees nearly six to seven years ago and were trained in-house by our CTO," says Sani.

Consolidating initial successes

After sidestepping initial hurdles, SANIssoft soon created a niche in high performance PHP applications, moving from catering to small start-ups to bigger enterprises. Today, SANIssoft has applications like Cheesecake Photoblog Software (a feature-rich photoblog software written using CakePHP framework), Coppermine Picture Gallery (a popular self-hosted photo gallery with six million downloads from Sourceforge), WAppop (which gives POP access to glance through an e-mail even when on the move), PHPLib (a library of PHP classes which added sessions to PHP version 3), etc. in its portfolio. The firm's clients include Asiarooms (an Asia-Pacific-based travel house), Aximize (a property management portal), Budget Pulse (an interactive Web-based budgeting utility), Santiago Properties (a real estate classifieds agency), etc.

But how did SANIssoft create this niche? It was the cumulative effect of its business model and continuous community work that worked for the company.

Strong business model

SANIssoft has adopted a hybrid business model. Most of its revenue is generated by the 'loss leader' model, wherein a no-charge open source product is used first to attract the customer. This generates little or no revenue, but the product woos customers into buying other products, solutions or services of the company that are sold using the traditional software business model. "Loss leader" means a software product is initially open sourced. The

company derives a marketing benefit by way of showcasing its capability and code quality through this open sourced product and then procures business. SANIssoft primarily uses this business model. For instance, our open-sourced Cheesecake-Photoblog based on CakePHP framework was cited by many as a reference for a CakePHP application. It helped us showcase our work, attracting business opportunities," says Sani.

The team also used the 'sell it, free it' model, wherein the software starts out as a traditional commercial software product but is converted to an open source product at an appropriate time. "A lot of development that we did for a company that partnered with Flickr for photo printing found its way into Coppermine code. Zip Locator, too, which was initially developed for classifieds, was later freed. Similarly, B2B classifieds and B2C began life as in-house closed source projects. These have been our bestsellers, but since it was realised that none of the clients ever asked for an exact replica, we decided to open the source code of these products under the LGPL," says Sani.

A small proportion of the firm's business also comes from 'support selling', which involves revenue generated from media distribution, branding, training, consulting, custom development, and post-sales support. "We provide support for PHP-based open sourced solutions like Joomla, Coppermine picture gallery and Wordpress, apart from long-term maintenance and support for our own custom-made solutions for our clients," says Sani.

Active community work

Further, SANIssoft employees have been continuously involved in the community, focusing on bug-fixing, submitting patches, and replying to answers on mailing lists. This eventually gets the firm into the limelight, increasing its reach. "Giving back to the community is a deeply ingrained habit in SANIssoft. Our programmers help people with various problems in their free time or they develop free software. We have regularly contributed in covering costs during conferences for the KDE community in India. We have sponsored an international CakePHP conference in Argentina, and another in Germany," says Sani.

Looking ahead

Expansion is on the cards for SANIssoft. "We are in the process of doubling our programmer strength and thus increasing our turnover. We also plan to start offering turnkey and end-to-end solutions," says Sani. So, it seems like SANIssoft just might achieve a 100 per cent growth rate over the next five years. 

By: Vanisha Joseph

The author loves to experiment and writing for LINUX For You is her latest experiment. So, beware! Just a minute, she also happens to be a journalist during the day.